

Money left the bank. Its protections stayed behind.

Over this cycle, the question changed from whether money would leave the bank to what protects it once it has. Nine weeks ago the central question was whether a US yield rule would set the pace of deposit flight. That rule never arrived: the Senate rejected cloture on the Clarity Act 49 to 50, and the stablecoin float fell to a six-month low. What arrived instead were terms set by supervisors: federal charters for digital-dollar firms that take no insured deposits, a January gate on foreign-minted coins, and capital charges for risk that comes back. Meanwhile retail private credit funds capped withdrawals at 5%. What follows is the warnings this portfolio carried early, the assumptions that changed, and the decisions now ready to take.

STRATEGIC PICTURE AT A GLANCE

5

Weak signals
became measurable

6

Strategic
assumptions
changed

5

Actions now
decision-shaped

1

Strategic constraint
replaced

DRAWING ON

- Decision Intelligence, 24 September 2026 · 'Where Your Money Will Live'
- Signal Scan, 21 September 2026 · 'Issuance Prices Overnight Money'
- Change Tracker, 17 September 2026 · 'Clarity Act fails as Pontes goes live'
- Signal Scan, 14 September 2026 · 'Capital Charge Taken from the Raters'
- Signal Scan, 7 September 2026 · 'Fungible by Permission'
- Signal Scan, 31 August 2026 · 'Banking Without Deposits'
- Signal Scan, 24 August 2026 · 'Cash Legislated Back In'
- Change Tracker, 20 August 2026 · 'Tokenised settlement clears real money'

● Signal Scan, 17 August 2026 · 'The Recapture Charge'

● Signal Scan, 10 August 2026 · 'The Mobilisation Gap'

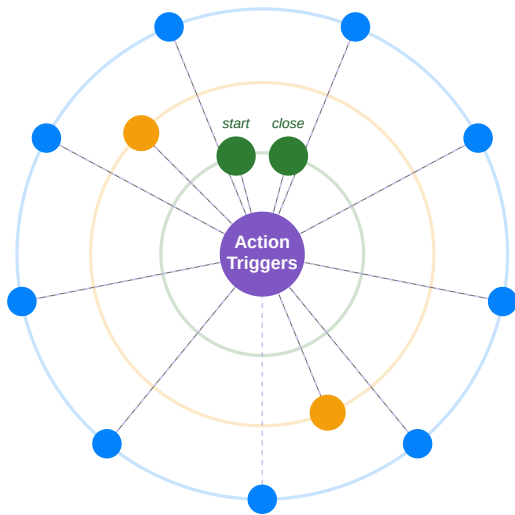
● Signal Scan, 3 August 2026 · 'Circles of Risk'

● Signal Scan, 27 July 2026 · 'The End of Free Bank Data'

● Decision Intelligence, 23 July 2026 · 'The Summer Money Left the Bank'

DETECT · ASSESS · DECIDE · ACT

one cycle



Nine weeks of continuous monitoring, resolved into one decision-grade synthesis at the centre.

Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 2 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

Customers will hold digital dollars at federal banks that carry no deposit insurance.

INITIAL SIGNAL

We identified that the uninsured national trust charter had become the federal licence of choice for stablecoin and custody firms, and that the licence, not the coin rulebook, was fixing US digital-dollar market structure.

NOW EVIDENT

- **Circle:** final approval for a national trust bank on 10 July, with reserve management designed in as a future capability.
- **40 applications:** de novo charter applications to the OCC in 18 months; BitGo, Fidelity Digital Assets and Paxos await final approval.
- **No statute:** cloture on the Clarity Act failed 49 to 50, so agency rules written for issuers are now the regime that binds in 2027.

CAPITAL EXPECTED **\$6m to \$25m per issuer** OCC FINAL RULE **targeted November 2026**

PREPARE

Treasurers and custody heads should rate these banks as their own exposure class before they hold the float.

LEAD TIME 5 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

DECISION INTELLIGENCE

Weekend settlement will create obligations that eligible collateral cannot meet until Monday.

INITIAL SIGNAL

We flagged that central banks admitted tokenised collateral only through existing depositories while pushing settlement towards continuous operation, leaving a gap that lands on bank treasuries as an intraday liquidity cost.

NOW EVIDENT

- **Pontes:** the Eurosystem committed to go-live this year, with round-the-clock, multi-currency settlement from mid-2028.
- **Real value:** Project Agora settled about CHF 800,000 across 28 institutions and central banks, in an average of 80 seconds.
- **Longer hours:** the September briefing records Swift's ledger ready for 24/7 payments and the Bank of England lengthening settlement hours.

CHAPS DAY STARTS **01:30 (now 06:00), from September 2027**

WEEKEND SETTLEMENT **2029 at the earliest**

PREPARE

Liquidity models calibrated on a five-day week need a Sunday scenario before the operating model is rebuilt around the old one.

LEAD TIME 6 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

DECISION INTELLIGENCE

A fund forced to revalue its loans could send shed credit risk back to the banks that financed it.

INITIAL SIGNAL

We identified that credit risk banks paid to shed through synthetic risk transfers circles back, because banks lend to the investors selling them protection, and that no supervisor holds the data to size the loop.

NOW EVIDENT

- **Gates held:** non-traded BDC repurchase requests reached 12.4% of NAV in the second quarter and sponsors fulfilled 38%.
- **5% cap:** most managers capped withdrawals at 5% when requests surged, the September briefing records.
- **\$220bn:** bank credit lines to private credit funds, in a market the FSB sizes at \$1.5 to \$2 trillion.

SRT PROTECTION **almost €800bn of loans** NEW TO THE REGISTER **17 September**

PREPARE

Risk functions should net the funds behind their protection against their own lending to those funds.

LEAD TIME STILL AHEAD

SIGNAL SCAN

CHANGE TRACKER

A dollar stablecoin bought in Paris may not be the same coin as one bought in New York.

INITIAL SIGNAL

We flagged that the European Parliament, the US Treasury and Singapore's MAS each moved in one quarter to allow one stablecoin to be issued across borders, on condition of an equivalence finding none has made.

NOW EVIDENT

Treasury's proposal lets US exchanges rely on each foreign issuer's own representation from 18 January, because no comparability process exists. The market still reads the US, EU and UK regimes as one rulebook, and the consultations close within three weeks of each other.

US GATE **18 January 2027** COMMENTS CLOSE **30 Sep, 16 Oct, 19 Oct**

PREPARE

Holders should record which issuing entity stands behind each token and on what redemption terms.

Capital charges on private assets can rise with no downgrade and no default.

INITIAL SIGNAL

We identified two supervisors pricing what happens if risk comes back, rather than what the counterparty holds, and US insurance regulators taking the capital charge back from the rating agencies.

NOW EVIDENT

- **Funded reinsurance:** the PRA expects charges of around 10% of the underlying annuity liabilities, against 2 to 4% previously discussed.
- **CLO factors:** new NAIC charges apply at the 31 December filing, with tranche thickness read off the latest trustee report.
- **Override power:** the NAIC can challenge a filing-exempt rating that differs from its own view by more than three notches.

PRA SAVINGS PROVISION **30 September 2026** NAIC FILING **31 December 2026**

PREPARE

Capital plans need an adverse-designation case alongside the adverse-credit case.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 6

REPLACED

One US vote would decide how fast money left the bank

PRIOR CYCLE HELD

The prior cycle held that "the still-unwritten stablecoin yield rule is the single switch that sets the pace", and keyed its lead action to the Clarity Act text due in the fourth quarter.

THIS CYCLE READS

The switch never moved, and the pace was set anyway. The successor is a split line drawn by supervisors, no interest for holding digital dollars but rewards for using them, plus the licences that decide who may issue and custody them.

- **Statute:** cloture on the Clarity Act failed 49 to 50 on 15 September.
- **Rewards line:** the Bank of England's final policy bans interest but allows rewards linked to use; Korea's budget office points the same way.
- **Licence:** uninsured trust charters and a Treasury gate on foreign-issued coins from 18 January 2027.

FORWARD THESIS

Plan against the rewards line and the licence in each market, not against a US vote. The tripwire is **the OCC final rule targeted for November**, and whether it defines rewards narrowly.

SHIFT 2 OF 6

REPLACED

The danger was markets that fail together at machine speed

PRIOR CYCLE HELD

Prior thinking asked firms to add "a machine-speed, correlated-liquidity stress scenario" to their risk models, reading the systemic threat as tokenised, round-the-clock markets failing together and faster.

THIS CYCLE READS

The stress that arrived was slow and old-fashioned: a promise of easy withdrawal from assets that cannot be sold quickly, made by balance sheets outside the bank. It showed in retail credit funds, in risk transfers that circle back to banks, and in offshore reinsurance that supervisors now charge for recapturing.

FORWARD THESIS

Stress-test the liquidity promise, not the settlement speed. The tripwire is **a fund that cannot honour its 5% cap for a third quarter**, or suspends repurchases outright.

Deposits could drain out of banks fast once stablecoins took hold

PRIOR CYCLE HELD

The prior cycle held that "The pace became a policy variable", citing modelled deposit losses of up to \$3.7tn if stablecoin yield were allowed.

THIS CYCLE READS

The fast-drain case lost ground on the evidence. The stablecoin float fell to a six-month low from a May peak of \$300bn to \$316bn, the deposit-drain signal read Fading in August and left the register in September, and estimates of lost bank lending now run from almost nothing to \$60bn to \$126bn for every \$100bn that leaves and does not return.

FORWARD THESIS

Keep a drain scenario, but size it against both estimates rather than the worst case. The tripwire is **the float regaining its May peak**.

Governments would fight over whether central bank money pays interest

PRIOR CYCLE HELD

Prior thinking held that "the real sovereign question became remuneration and access, not a retail digital dollar".

THIS CYCLE READS

That still divides China from the West, but in Europe the live question is dependence and resilience. The European Parliament backed a digital euro by 416 votes to 169, partly because Visa and Mastercard handle most euro-area card payments, and the argument is over a holding cap of €3,000. Sweden meanwhile legislated a duty on grocers and pharmacies to accept cash, and Australia a regime for distributing it, both as a fallback layer.

FORWARD THESIS

Read the European question as who keeps payments running in a crisis. The tripwire is **the holding cap agreed in trilogue**, which the Irish presidency aims to settle by the end of 2026.

Whoever verified the AI agent would capture the value in payments

PRIOR CYCLE HELD

The prior cycle held that the rail was commoditising and "the position to stake is in agent identity and mandate verification".

THIS CYCLE READS

Identity still matters, but it no longer looks sufficient. The open question this cycle was who pays when an agent gets a payment wrong: the Bank of England says its rules were not built for agents acting on their own, and a US banking group warns the usual cap on customer losses may not apply. The customer record is being priced too, as US banks start charging aggregators for data that was free by rule.

FORWARD THESIS

Stake the position in liability terms and data terms, not identity alone. The tripwire is **the FSB's final AI report in October**, and whether it names agentic payments.

Banks would answer stablecoins by building their own digital money

PRIOR CYCLE HELD

The prior cycle held that "the banks' answer is a build, not a veto", with a shared US tokenised-deposit network targeted for the first half of 2027.

THIS CYCLE READS

That reading survived a direct test. Federal Reserve staff classified tokenised deposits as money already inside M1, the ECB argued that tokenised deposits settling in central bank money do what stablecoins were meant to do, and more than half of the largest US banks are building or evaluating them. The weak point is connection: most schemes are being built separately.

FORWARD THESIS

Hold the thesis and watch interoperability rather than adoption. The tripwire is **the first Pontes transaction settling a tokenised-deposit leg**.

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE

ACTION 1

CHANGE TRACKER

DECISION INTELLIGENCE

Rebuild the deposit defence around payment rewards, now that no statute will settle interest.

TRIGGER CONDITION

This recommendation has been activated because the Clarity Act failed cloture 49 to 50 and is unlikely to pass this Congress, because the UK and Korea have drawn the same line (no interest for holding, rewards for using), and because the deposit plan written in July was keyed to a yield rule that will not now arrive.

PRIMARY DECISION OWNER **CFO and Head of Retail Deposits**

DECISION WINDOW **IMMEDIATE** **OCC final rule, targeted November 2026**

WHY THIS NOW MATTERS

A deposit defence waiting on a vote that failed is not a plan. The contest is now fought on rewards, and the customers most likely to move for one can be named today.

RECOMMENDED ACTIONS

- **Immediate:** retire deposit-flight scenarios keyed to the Clarity yield text and rebuild them on rewards, using both published estimates of lost lending.
- **Immediate:** identify which customer segments would move balances for a payments reward, and what matching it would cost.
- **Next quarter:** choose between matching rewards, partnering an issuer and offering a tokenised deposit; if you build a token, join a shared network first.

REVIEW CONDITIONS

This recommendation should be reviewed if a post-midterm cloture motion revives the Clarity Act with yield language, if the OCC's final rule defines rewards narrowly enough to close the gap, or if the stablecoin float stays below its May peak for another two quarters and the drain case weakens further.

Rate uninsured trust banks and foreign-minted stablecoins as exposure classes of their own.

TRIGGER CONDITION

This recommendation has been activated because the OCC is converting digital-asset trust charters into operating banks on \$6m to \$25m of capital, because Treasury proposes to let exchanges list foreign coins from 18 January on the issuer's own word, and because no equivalence process yet exists in the US, the EU or Singapore.

PRIMARY DECISION OWNER **Group Treasurer and Chief Risk Officer**

DECISION WINDOW **NEXT QUARTER** **US foreign-issuer gate, 18 January 2027**

WHY THIS NOW MATTERS

Counterparty policy written before 2026 assumed one entrance to the federal banking system, insured and deposit-taking. A policy that cannot tell the two apart will price an uninsured custodian as a bank.

RECOMMENDED ACTIONS

- **Immediate:** list every token you hold or accept and every custodian of your token float, with the issuing entity, charter type and redemption terms.
- **Immediate:** respond to the open consultations where you list or hold coins: the EU by 30 September, MAS by 16 October, Treasury by 19 October.
- **Next quarter:** set limits for uninsured trust banks separately from insured banks, and treat each jurisdictional leg of a coin as its own holding.

REVIEW CONDITIONS

This recommendation should be reviewed if a court upholds the state supervisors' challenge to the charter's legal basis, if a first equivalence finding makes a coin fungible across two regimes, or if the OCC adopts the reserve-based capital requirement of about 0.5% of assets that the states are pressing for.

Find every place where risk you paid to shed can come back onto your balance sheet.

TRIGGER CONDITION

This recommendation has been activated because retail private credit funds met their first live test with withdrawals capped at 5%, because the PRA proposes charges of around 10% on funded reinsurance against 2 to 4% previously discussed, and because the NAIC's new CLO charges apply to the 31 December filing whatever the rating says.

PRIMARY DECISION OWNER **Chief Risk Officer and Chief Investment Officer**

DECISION WINDOW **NEXT QUARTER** **Year-end capital filing, 31 December 2026**

WHY THIS NOW MATTERS

Each of these was sold as risk that had left: through a fund, a hedge counterparty or an offshore reinsurer. The cycle's evidence is that supervisors now price its return, and a plan that books the relief without the return overstates its capital.

RECOMMENDED ACTIONS

- **Immediate:** list every product or fund you hold or sell that promises regular withdrawals from private credit, and test a one-year cap.
- **Immediate:** name the investors behind your risk transfers and net them against your own lending, repo and prime-brokerage exposure to them.
- **Next quarter:** model required capital under adverse regulatory designation as well as adverse credit, and price reinsurance on both sides of the PRA's 30 September savings date.

REVIEW CONDITIONS

This recommendation should be reviewed if a gated fund is forced to remark its book, which would escalate it to Decide, if a supervisory data collection finds bank financing of risk-transfer investors immaterial, or if the PRA materially dilutes its counterparty charge in the final policy.

Re-cost intraday liquidity for a settlement week that no longer closes.

TRIGGER CONDITION

This recommendation has been activated because the Eurosystem and the Bank of England admit tokenised collateral only through existing depositories, because Pontes goes live this year with round-the-clock settlement from mid-2028, and because the CHAPS settlement day starts at 01:30 instead of 06:00 from September 2027 while the matching liquidity rules carry no date.

PRIMARY DECISION OWNER **Group Treasurer and Head of Liquidity Risk**

DECISION WINDOW **NEXT PLANNING CYCLE CHAPS settlement day starts at 01:30 instead of 06:00, from September 2027**

WHY THIS NOW MATTERS

Every intraday model assumes obligations pause when the collateral infrastructure does. An exposure that resolves in 2032 still has to be funded by a 2027 balance sheet.

RECOMMENDED ACTIONS

- **Immediate:** map the collateral inventory by the hours in which each asset can legally be mobilised.
- **Next quarter:** size the buffer needed for an obligation arising at 02:00 on a Sunday in 2029.
- **Follow-on:** choose between a technology build, a larger buffer and a smaller book, and put the choice in the next plan.

REVIEW CONDITIONS

This recommendation should be reviewed if the Bank of England names a date for revised intraday liquidity requirements, if a UK or euro-area depository announces weekend windows ahead of the settlement timetable, or if Basel capital treatment keeps tokenised assets too expensive to reach scale.

MONITOR

ACTION 5

SIGNAL SCAN

Watch the Treasury's financing calendar, not the reserve count, for the price of overnight dollars.

TRIGGER CONDITION

This recommendation has been activated because Federal Reserve staff find that \$100bn of net coupon issuance adds 3.9 basis points to the tri-party repo spread while daily moves in reserves add nothing, because Treasury held coupon sizes flat on 5 August and at least doubled long-end buybacks two weeks later, and because the Fed still reads reserves as ample.

PRIMARY DECISION OWNER **Group Treasurer and Head of Funding**

DECISION WINDOW **MONITOR ONLY** **Reinstate as Prepare when coupon sizes rise**

WHY THIS NOW MATTERS

Funding costs priced off SOFR follow the input that moves the spread. Watching the wrong input means the move arrives unannounced.

RECOMMENDED ACTIONS

- **Immediate:** add Treasury refunding statements and buyback schedules to the funding-cost watch.
- **Immediate:** track the tri-party repo spread over the rate paid on reserves each week.
- **Follow-on:** hold a drafted hedging stance for SOFR-linked books ready for the first coupon increase.

REVIEW CONDITIONS

Reinstate this as Prepare if Treasury announces larger coupon auctions at any refunding before the end of March 2027, which primary dealers expect early in the year. Stand it down if coupon sizes rise and the spread does not move.

The body of work, in one sentence

Over this cycle, money kept leaving the bank, but the protections that came with the deposit did not follow it. The July plan hung on one switch, the US yield rule, and the switch never moved; supervisors set the terms instead, through charters without deposit insurance, equivalence findings nobody has made and capital charges on risk that comes back. The load-bearing variable for the next two quarters is who stands behind money outside the bank when a customer asks for it back. The dates that answer it are already set: 31 December, 18 January, and whichever gated fund is first forced to revalue.

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Financial Services & Future of Money**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

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